

MI.1 Owner-Builder Exemption Walkthrough

How Michigan's owner-builder exemption actually works — the two statutes that create it, the three separate trade exemptions stacked on top of it, and the conditions that take them away.

Before you use this document

This is a process reference, not legal advice. Michigan's construction code is a single statewide code, but it is administered by more than 1,800 separate units of government — and your township, city, county, or the state Bureau of Construction Codes may each enforce a different trade on the same parcel. Confirm every item with the enforcing agency that will actually issue your permit before you rely on it. Statute text was read at legislature.mi.gov in August 2026; statutes change.

THE SHORT VERSION

Michigan requires a state **Residential Builder** license to build houses for other people. Building your own is not that. The Occupational Code excludes you twice over: you fall outside the *definition* of a residential builder in the first place, and there is a separate express exemption saying the licensing article does not apply to you. Neither one carries a dollar threshold, a square-footage limit, a holding period, or a state affidavit.

MCL 339.2401(a)(iii) and MCL 339.2403(b), Occupational Code, 1980 PA 299, Article 24. Read at legislature.mi.gov, August 2026.

The exemption at a glance

Question	Michigan's answer
Is there a project-cost threshold?	No. Michigan's license requirement is not keyed to project value the way many states' are. You may build a \$1,000,000 house for yourself unlicensed
Must you own the land?	Yes — the exemption is written for "an owner of property," with reference to a structure <i>on the property</i>
Must you live in it?	Yes — "for the owner's own use and occupancy." Both words do work. A structure you will not occupy is not covered
For how long?	The statute sets no period. There is no 12-month rule, no not-for-sale window, and no waiting period in Michigan law — see the section below before you rely on that
What do you sign?	An affidavit verifying that your <i>plans and specifications</i> are true and complete — not an occupancy affidavit. (MCL 125.1510(1))
Can you do your own wiring, plumbing and HVAC?	Yes — but under three further exemptions , each with its own test. Qualifying as an owner-builder does not qualify you for any of them

THE EXEMPTION ITSELF — TWO STATUTES, NOT ONE

Most guides quote one of these and miss the other. They do different jobs, and having both is why the Michigan owner-builder right is so hard to argue with.

The two provisions — belt and braces

(1) You are not a residential builder to begin with. The definition reaches "*a person that erects a residential structure **except for the person's own use and occupancy on the person's property.***" Build for yourself, on your own land, and the definition simply does not describe you. (MCL 339.2401(a)(iii))

(2) And the article expressly does not apply to you. "*Notwithstanding article 6, a person may engage in the business of or act in the capacity of a residential builder ... without a license under this article, if the person is ... **an owner of property, with reference to a structure on the property for the owner's own use and occupancy.***" (MCL 339.2403(b))

Read the operative words closely. **Owner of property** — the exemption belongs to the person who owns the land, so get the deed recorded in your name before you apply. **On the property** — it is the structure on land you own, not any structure anywhere. And **own use and occupancy** — a conjunction, not a synonym pair. A building you will use but not occupy, or own but not occupy, is outside it.

What Michigan does NOT impose — and what to do with that

The Occupational Code sets **no holding period**, no "not offered for sale within X months" clause, and no presumption that you lacked intent if you move out. Guides that print a one-year or two-year Michigan window are importing another state's rule. Michigan's test is your **intent at the time you build**: was this structure for your own use and occupancy?

That cuts both ways: there is no safe-harbor date you can wait out either. Sell a house you never meant to live in and you needed the license at month zero — time does not cure it. Build the home you actually mean to live in, keep evidence that you meant it, and the absence of a deadline works entirely in your favor.

Verified by reading MCL 339.2401, 339.2403 and 339.2412 in full at legislature.mi.gov in August 2026. If a future amendment adds a period, it will appear in those sections.

WHAT YOU ACTUALLY SIGN — MCL 125.1510

The **building** permit application carries no homeowner affidavit. What the law requires is that every application — yours, a builder's, anyone's — carry "*a detailed statement in writing, **verified by affidavit of the individual making it**, of the specifications for the building or structure, and full and complete copies of the plans drawn to scale.*" You are swearing that your **drawings and specifications are accurate**, not that you promise to live there. Nothing in the Construction Code Act asks a homeowner to attest to occupancy or to not selling.

The mechanical permit is the exception, and it is statutory. To install your own heating or refrigerating system you must, *"in his or her application for a permit,"* affirm *"that he or she is or will become the owner and occupant of the dwelling"* and that you will install the equipment yourself. That is a real occupancy attestation, on that one application, under MCL 339.5819 — see the trade section below.

Separately, many enforcing agencies hand owner-builders their own local "homeowner affidavit" or "homeowner permit" form with additional promises on it. Those are **local instruments** adopted under MCL 125.1508b(11), and they vary. Read whatever you are handed before you sign it, because its terms are not set by the State and are not reproduced anywhere in this kit.

The warning printed above your signature — and what it means for hiring

Michigan requires this sentence on every building permit application, in 8-point boldface, immediately above where you sign: *"Section 23a of the state construction code act of 1972, 1972 PA 230, MCL 125.1523a, prohibits a person from conspiring to circumvent the licensing requirements of this state relating to persons who are to perform work on a residential building or a residential structure. Violators of section 23a are subjected to civil fines."* (MCL 125.1510(4))

That is the provision behind the rule you will hear at the counter as **"a licensed contractor may not work under your homeowner permit."** The mechanism is in MCL 125.1510(2)–(3): a person is not recognized as your builder or agent unless a written contract, power of attorney or letter of authorization is **filed with the enforcing agency** setting out their license number and expiry; and anyone licensed — or required to be licensed — who applies for a permit for residential work must give their license number, workers' compensation carrier, employer identification number and unemployment agency number on the application.

So the honest version is not "you may never hire anyone." It is: **the person who does the work is supposed to be the person on the permit.** The Bureau states it plainly for the mechanical trade — *"a homeowner must secure a permit for work they are performing at their residence, and mechanical contractors are responsible for permits on work they are performing on behalf of an owner"* — and the same logic runs through all four disciplines. Pull your own permits for the work you genuinely do yourself, and have each licensed contractor you hire pull their own under their own license. Using your homeowner permit as a wrapper so an unlicensed crew can work under it is precisely what section 23a names.

MCL 125.1510(1), (2), (3), (4) and MCL 125.1523a, Stille-DeRossett-Hale Single State Construction Code Act, 1972 PA 230. The boldface warning above is reproduced verbatim on the Bureau of Construction Codes' own Building Permit Application, form BCC-324 (04/2024), page 4.

DOING YOUR OWN ELECTRICAL, PLUMBING, AND MECHANICAL WORK

This is where Michigan is genuinely better than most licensing states — and where owner-builders get sloppy. The builder exemption and the three trade exemptions are **four different rules**. Qualifying for one does not qualify you for the others, and the trade exemptions are narrower than the builder one in ways that matter.

Trade by trade — what each statute actually says

Trade	What the exemption requires	Authority
Electrical	No license for " <i>any installation, alteration, or repair of electrical equipment by a homeowner in a single family home and accompanying outbuildings owned and occupied, or to be occupied, by the individual who is performing</i> " the work. The widest of the three — and "or to be occupied" expressly covers a house you have not moved into yet.	MCL 339.5737(3)(g)
Plumbing	A license is not required for " <i>the installation by a homeowner of his or her own plumbing, building sewer, or private sewer in his or her single-family dwelling if a permit is secured.</i> " Note what is <i>absent</i> : no occupancy condition at all. The permit is written into the exemption itself.	MCL 339.6107(2)(d)
Mechanical	Much narrower than assumed — only " <i>a heating or refrigerating system</i> ," not mechanical work generally. Own and occupy (or be about to), install it personally, affirm both on the permit application , and get an inspection once it is running. Refrigerant is separately federal : EPA Section 608 to open a circuit.	MCL 339.5819; 40 C.F.R. 82-F

Do not flatten these into one rule. They differ on **scope** (mechanical reaches only a heating or refrigerating system), on **occupancy** (electrical and mechanical require it, plumbing does not mention it), and on **paperwork** (only mechanical demands a sworn affirmation). All three run to **the individual doing the work**, and all three exempt you from the **license** only — never from the permit.

The trap: your electrical exemption can be switched off locally

The three trade exemptions are not equally durable, and no competing Michigan guide says so. Article 7 "*does not apply in the jurisdiction of a municipality that adopts or has adopted an ordinance*" meeting four tests — standards at least as stringent, substantially similar enforcement, comparable penalties, and inspection of electrical wiring. (MCL 339.5733(1))

The statute then lists the classes such an ordinance may *not* require a license for — section 737(3)(c), (d), (e), or (f). The homeowner exemption is **737(3)(g)**, conspicuously absent from that protected list. So a municipality running its own qualifying electrical ordinance can lawfully require a licensed electrician even on your own home. Plumbing and mechanical are the opposite — local licensing is barred outright (MCL 339.6125(1); MCL 339.5811). **Ask before you buy wire.**

A permit is still required for every trade

Being exempt from a **license** is not being exempt from a **permit**. Michigan requires separate permits for building, electrical, mechanical and plumbing work, and the Bureau states the rule for each trade flatly: electrical — "*a person shall not equip a building with electrical conductors or equipment ... without receiving a permit*"; plumbing — "*plumbing work shall not be started until a permit for such work has been issued*"; mechanical — "*except for replacement of minor parts, mechanical work shall not be started until a permit for such work has been issued.*" Doing your own work without pulling those permits is the single most expensive mistake in this kit, because the remedy is opening up finished work.

And in Michigan there is a second sting: those four permits may not all come from the same office. See **MI.4**.

*All three exemptions are quoted from the **skilled trades regulation act, 2016 PA 407**: electrical, MCL 339.5737(3)(g), with the permit requirement at MCL 339.5731(1) and the local-ordinance override at MCL 339.5733; plumbing, MCL 339.6107(2)(d), with MCL 339.6125(2) authorizing the homeowner to hold the permit and MCL 339.6125(1) barring local licensing; mechanical, MCL 339.5819, with MCL 339.5811 barring local licensing. **Watch the citation you are given elsewhere:** the old Electrical Administrative Act (MCL 338.881–338.892), the State Plumbing Act (MCL 338.3511–338.3569) and the Forbes Mechanical Contractors Act (MCL 338.971–338.988) were all **repealed effective April 4, 2017** by that same act. Guides still citing MCL 338.883 for the homeowner electrical exemption are quoting dead law. Verified August 2026.*

THE \$600 RULE — AND WHY IT IS NOT YOUR EXEMPTION

Michigan also exempts work "*if the aggregate contract price ... is less than \$600.00,*" and you will see this quoted as though it were a threshold below which anyone may work on your house. Read the second sentence: it "*does not apply if the work of a construction is only a part of a larger or major operation ... or in which a division of the operation is made in contracts of amounts less than \$600.00, **to evade this act.***" You cannot slice a house into \$599 pieces. Your exemption is MCL 339.2403(b); do not rely on this one. (MCL 339.2403(f))

QUALIFICATION CHECKLIST — WORK THIS BEFORE YOU APPLY

Every line below is a condition Michigan law imposes or a fact the permit counter will ask you to prove. Work down it with a pen. If you cannot check a box, resolve it before you file — not after.

Step 1 — Ownership and intent

	Item	Date	Notes / evidence
☐	Land is recorded in your name as of the permit application date — the exemption belongs to "an owner of property" Deed/liber-page: _____ Parcel ID: _____		

Step 1 — Ownership and intent

	Item	Date	Notes / evidence
☐	You intend the finished structure for your own use and occupancy — not as a rental, spec house, flip, or a building you will use but not live in		
☐	You can show what you intended if asked: a construction loan in your name, a homestead/principal-residence exemption filing, an address change, a signed contract to sell your current home		
☐	No purchase, lease, or listing agreement for the property exists or is contemplated		
☐	If your plan involves selling or renting the finished house at all, you have the enforcing agency's written position before applying Date requested: _____ Response: _____		

Step 2 — The four exemptions you are relying on

	Item	Date	Notes / evidence
☐	Builder: confirmed you meet MCL 339.2403(b) — owner of the property, structure for your own use and occupancy		
☐	Electrical: single-family home (plus outbuildings), you own it and occupy or will occupy it, and you personally will do the wiring		
☐	Electrical, local override: asked your municipality whether it runs its own electrical ordinance under MCL 339.5733 — if it does, your homeowner exemption may not apply there		
☐	Plumbing: you will install your own plumbing, building sewer, or private sewer in your single-family dwelling, and a permit is secured		
☐	Mechanical: it is a heating or refrigerating system , you own and will occupy the dwelling, you will install it personally, and you are ready to affirm both on the permit application		
☐	Mechanical, federal: you hold EPA Section 608 certification if you will open a refrigerant circuit		
☐	For any trade you will not do yourself, the licensed contractor you hire will pull that permit under their own license		

Step 2 — The four exemptions you are relying on

	Item	Date	Notes / evidence
☐	Each contractor's license verified with LARA before they start Verified on: _____		

Step 3 — the paperwork itself (the four permit applications, the five environmental approvals, plan sets, and everything your enforcing agency adds on top) is worked in **MI.2 Permit Application Checklist**, and each document is described in **MI.5 Forms & Documents Index**.

WHAT TAKES THE EXEMPTION AWAY — AND WHAT IT COSTS

- **Building something you never intended to occupy** — a spec house, a rental, an investment flip. This is the whole test.
- **Not owning the land** the structure sits on.
- **Letting an unlicensed person work under your permit** — the section 23a conspiracy provision.
- **Doing a trade yourself when the trade exemption does not fit** — for example wiring a duplex, or having someone else do the wiring on your homeowner electrical permit.

The consequences Michigan law actually names, in ascending order. **Conspiring to circumvent licensing** is a civil violation carrying a fine of "*not less than \$100.00 or more than \$500.00*," enforceable by the county prosecutor or the Attorney General (MCL 125.1523a). An unlicensed residential builder **cannot sue to collect** — no action "*for the collection of compensation for the performance of an act or contract for which a license is required*" without alleging and proving licensure — and **cannot record a construction lien** (MCL 339.2412(1), (3)).

The penalty figure nearly every Michigan summary gets wrong

You will read that unlicensed residential building in Michigan is a misdemeanor carrying "up to \$500 or 90 days." Those are the numbers in MCL 339.601(4) — the **general** penalty for practicing any occupation the Occupational Code regulates.

Residential builders were carved out of it. MCL 339.601(6) begins "**Notwithstanding subsections (4) and (5)**" and sets its own scale: a first offense is a misdemeanor punishable by a fine of "*not less than \$5,000.00 or more than \$25,000.00, or imprisonment for not more than 1 year, or both*"; a second offense raises the prison term to two years; and an offense "*that causes death or serious injury*" is a **felony** with up to four years. A separate civil action by a prosecutor or the Attorney General carries \$5,000 to \$25,000 on top (MCL 339.2412(4)).

None of this touches a genuine owner-builder — you are exempt, so there is no offense. It matters because it shows how seriously Michigan treats the line.

Sources — every Michigan claim in this document (verified August 2026)

What this document states	Authority
The exemption twice over: a person erecting for their own use and occupancy on their own property is outside the definition, and is also expressly exempted	MCL 339.2401(a)(iii); 339.2403(b)
No project-cost threshold, holding period or not-for-sale window in the article; the \$600 exemption is for small standalone jobs and cannot be split to evade the act	MCL 339.2401-2412; 339.2403(f)
The affidavit verifies the plans and specifications; an agent or builder is not recognized without a filed written instrument; licensed residential applicants must give license, workers' comp, EIN and UIA numbers	MCL 125.1510(1)-(3)
The 8-point boldface section 23a warning above the signature, and the civil violation it names: \$100-\$500	MCL 125.1510(4); 125.1523a
Unlicensed residential building: \$5,000-\$25,000 and up to 1 year (first offense), felony if death or serious injury results — not the general \$500 / 90-day penalty	MCL 339.601(4), (6)
Unlicensed builder cannot sue to collect and cannot lien; prosecutor or Attorney General may seek \$5,000-\$25,000	MCL 339.2412(1), (3), (4)
Homeowner electrical exemption — and that a qualifying local ordinance can switch it off. The old MCL 338.883 was repealed effective April 4, 2017	MCL 339.5737(3)(g); 339.5733
Homeowner plumbing exemption — no occupancy condition — and mechanical, heating or refrigerating system only, with a sworn affirmation on the application; local licensing barred for both	MCL 339.6107(2)(d); 339.5819

Read any MCL section cited above free at legislature.mi.gov → Laws → MCL Search, or directly at legislature.mi.gov/Laws/MCL?objectName=mcl-339-2403 with the chapter and section swapped into the last two number groups — *mcl-125-1510*, *mcl-339-2012*, and so on. All statute text in this kit was read at that source and verified August 2026.